WAVERLEY GATEWAY GUIDE

Connecting International Capital

PORTUGAL

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Lisbon	Capital and main business centre, seat of government, Banco de Portugal and most international firms; a new Lisbon airport is planned for after 2035	Technology and digital services, finance, tourism, real estate
Sines	Deep-water Atlantic port and industrial zone with an investment pipeline of more than €25 billion, including the €2 billion CALB battery plant and the Start Campus data centre	Batteries, data centres, green hydrogen, energy, logistics
Porto and the North	Portugal's industrial heartland and second city, with strong export manufacturing and a growing technology scene	Manufacturing, textiles and footwear, technology, engineering
Centre region (Coimbra, Leiria and Aveiro)	Manufacturing and university region where reconstruction is under way after Storm Kristin caused about €6 billion of damage in January 2026	Industry, construction and reconstruction, infrastructure resilience
Algarve	Leading tourism region with an international airport at Faro, which TAP's new partner plans to serve more widely	Tourism and hospitality, real estate, services
Azores and Madeira	Autonomous Atlantic regions with their own regional governments, part of the EU and Portugal's air-connectivity plans	Tourism, renewable energy, maritime and services

INVESTOR ENTRY ROUTES

- AICEP Portugal Global, the trade and investment agency, which contracted a record €3.58 billion of investment in 2025 with €803 million of incentives and commitments to 6,600 jobs
- Strategic investment incentive contracts for large export-oriented projects, such as the €350 million of incentives agreed for CALB's Sines battery plant
- Corporate income tax cut to 19% in 2026, falling to 18% in 2027 and 17% from 2028, with a 15% rate on the first €50,000 of profit for SMEs and small mid-caps
- The IFICI regime, offering a 20% flat rate on income from qualifying professional activities for eligible new residents
- Euro-area, EU single-market and Schengen membership, with free capital movement and the legal certainty of EU law

- Privatisation and partnership opportunities, including the sale of a 44.9% stake in TAP Air Portugal to Lufthansa for €1.2 billion agreed in October 2026

MARKET-ENTRY OBSERVATION

Portugal in November 2026 stands out in the euro area for combining above-average growth with budget surpluses and rapidly falling public debt. GDP grew 1.9% in 2025 and 2.4% year-on-year in the third quarter of 2026, with investment rebounding, and the government forecasts 2.3% growth for 2026. Public debt fell below 90% of GDP in 2025 for the first time in 16 years and is projected at 84.5% in 2027, when the draft budget targets a fifth consecutive surplus of 0.1% of GDP. Foreign investment is gaining scale: AICEP contracted a record €3.58 billion in 2025, Sines has attracted a pipeline of more than €25 billion in batteries, data centres and green hydrogen, and in October 2026 the government chose Lufthansa to buy 44.9% of TAP for €1.2 billion. Corporate tax is falling steadily towards 17% by 2028, and the election of António José Seguro as President in February 2026 with about 67% of the vote reinforced institutional stability.

Portugal's main structural challenge is building the infrastructure, housing and workforce needed to absorb this wave of investment. In May 2026 the Economy Minister said Sines no longer had capacity to host further large companies without upgrades to water, grid, waste and port facilities, and Storm Kristin caused about €6 billion of damage in central Portugal in January 2026. Inflation rose to 3.8% in October 2026, driven by energy prices. The policy response creates opportunities: the 2027 budget pairs fiscal prudence with lower taxes, incentives are focused on strategic export-oriented projects, a new customs office opens in Sines in January 2027, and reconstruction, grid, water and housing investment is a priority. Investors in utilities, construction, engineering and affordable housing are well placed to benefit.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Infrastructure capacity at growth hubs	Sines needs upgrades to water, grid, waste and port facilities before it can host further large projects	Confirm utility connections early with AICEP and local authorities; supplying this infrastructure is itself a significant opportunity
Parliamentary arithmetic	The Montenegro government lacks a majority, and parliament rejected its labour reform in June 2026	Fiscal policy and tax cuts have broad support and the presidency provides stability; track reforms that need cross-party backing
Inflation and energy costs	Inflation reached 3.8% in October 2026, with energy prices up sharply	ECB rate rises are working to contain inflation; Portugal's renewable resources support long-term power-purchase agreements
Housing and skilled labour	Housing costs and shortages of skilled workers can slow hiring in Lisbon, Porto and Sines	Use the IFICI regime and university partnerships, and consider staff housing in project plans; tax incentives support affordable housing
Climate and extreme weather	Winter storms in 2026 and summer wildfires disrupted infrastructure and activity in parts of the country	Build climate resilience and insurance into site selection; EU solidarity funding supports reconstruction
Changes to nationality rules	A new nationality law took effect in 2026, changing the requirements that apply to new applications	Take immigration advice early; work-based residence and the IFICI regime remain available for qualifying professionals

INVESTOR RISK NOTE

Portugal has a low-risk profile as a long-standing EU, euro-area and Schengen member with improving public finances and stable institutions. Debt fell below 90% of GDP in 2025, the government targets a fifth consecutive surplus in 2027, and corporate tax is on a legislated path down to 17% by 2028. The main points to monitor are the government's lack of a parliamentary majority, which has slowed some reforms, energy-led inflation of 3.8% in October 2026, and capacity constraints at investment hubs such as Sines. Climate events, including the January

2026 storms and summer wildfires, are a growing operational consideration best managed through site selection and insurance. Portugal is a FATF member with no grey-list concerns, and investors benefit from EU law, the euro and the Eurosystem framework.

MARKET ACCESS

As an EU member, Portugal gives investors tariff-free access to the EU single market and all EU free trade agreements, with WTO membership and the EU common trade policy governing trade with third countries. Euro and Schengen membership remove currency risk and border checks within the area, and Spain is Portugal's closest market and supply-chain partner. Portugal's Atlantic position and the deep-water port of Sines link Europe with the Americas and Africa, while shared language and long-standing ties give companies a platform into Brazil and Portuguese-speaking African markets. Portugal and Spain have jointly proposed an €8 billion European AI gigafactory split between Sines and Abrantes, underlining the country's ambition as a digital and energy gateway.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Luís Montenegro)	Leads the government and its programme of tax cuts, budget surpluses and strategic investment	Primary reference point for national priorities and major projects
AICEP Portugal Global	Trade and investment agency that negotiates incentive contracts for large investment projects	Standard first point of contact for market entry and incentives
Banco de Portugal (Governor Álvaro Santos Pereira)	National central bank within the Eurosystem and banking supervisor; the ECB deposit rate has been 2.50% since September 2026	Relevant for banking, payments and financial-sector matters
Ministry of Finance (Minister Joaquim Miranda Sarmento)	Leads the budget, the corporate tax reduction path and the 2027 State Budget	Key counterpart on tax, fiscal and privatisation matters
Ministry of Economy	Oversees industrial policy, incentives and investment hubs such as Sines	Relevant for strategic projects and industrial location
President of the Republic (António José Seguro)	Elected in February 2026 and sworn in on 9 March; promulgates laws and can refer them to the Constitutional Court	Important for institutional stability and the legislative process
TAP Air Portugal	National airline in which Lufthansa is to acquire a 44.9% stake, with plans to expand the fleet and regional connectivity	Partner for aviation, tourism and connectivity investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Portugal-UK Chamber of Commerce, the American Chamber of Commerce in Portugal, the Portuguese-German Chamber of Industry and Commerce and the Franco-Portuguese Chamber of Commerce and Industry are active bilateral business associations, alongside the Confederation of Portuguese Business (CIP) and the Portuguese Chamber of Commerce and Industry. AICEP runs investor services, trade missions and international promotion through its network of overseas offices. The European Investment Bank and EU recovery and cohesion programmes co-finance energy, transport and innovation projects, and EU solidarity funding supports storm reconstruction. Embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Portugal suits investors seeking a stable, lower-cost EU and euro-area base with a falling tax burden: battery, clean-tech and data-centre investors at Sines; export manufacturers in the North and Centre; technology, digital and shared-services companies in Lisbon and Porto drawing on skilled graduates and the IFICI regime; renewable-energy and green-hydrogen developers; and infrastructure, construction and housing investors responding to reconstruction and capacity needs. Its links with Brazil and Portuguese-speaking Africa add value for companies with Atlantic ambitions.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage AICEP and assess incentive eligibility
Open direct dialogue with AICEP to test eligibility for strategic investment incentive contracts and to identify suitable locations.

STEP 2: Confirm infrastructure and utility capacity
Verify grid, water and port capacity at the preferred site, particularly at Sines, before committing to a timetable.

STEP 3: Model the falling tax path
Build the reduction in corporate tax to 17% by 2028 and the IFICI regime for key staff into financial plans.

STEP 4: Plan for talent, housing and resilience
Partner with universities, address staff housing early and include climate resilience and insurance in site design.

STEP 5: Track policy and privatisation developments
Monitor the 2027 budget, reforms needing cross-party support and partnership opportunities such as the TAP transaction.